

BOARD MEETING OF THE CBA

MINUTES

(11.06.2019)

On the Refinancing Rate

The CBA Board Meeting of June 11, 2019 attended by Governor Arthur Javadyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Arthur Stepanyan, Armenak Darbinyan and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of June 11, 2019. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 0.4% deflation registered in May 2019 which was mainly due to a seasonal decline in prices of the group “Food product and non-alcohol beverage” (1.5%) and, particularly, of the group “Vegetable” (7.8%). The prices of non-food products and service tariffs grew during the month by 0.5% and 0.1%, respectively. As a result, compared to a 1.0% deflation in the same month of the previous year, the 12-month inflation in May has increased, amounting to 2.8%. During the month, **the 12-month core inflation rate** has slightly grown too, **reaching 1.4%**.

Addressing the current economic situation, the Board stated that **economic activity over the past period of 2019 has persisted at a rather high level too, with the first quarter’s economic growth having exceeded the expectations.** The registered high indicator largely owed to the growth in the services sector, which was accompanied by persistently high growth in private consumption. At the same time, domestic demand continued to be curbed during the second quarter as a result of the implemented fiscal policy, but a certain stimulus for demand might be expected over the second half of the year due to the increase in state budget expenditures, as a result of which the fiscal impulse will be neutral on an annual basis. It should be noted that, in light of economic activity remaining strong, the Central Bank has revised the year’s economic growth forecast upside in the Monetary Policy Program for the second quarter of 2019.

Trends in the external sector were discussed at the Board’s meeting, according to which the slowing of global economic and demand growth rates continues, which comes in line with further uncertainties associated with

the escalation of trade wars. The latter reflected the deterioration of economic growth outlooks of major trade partner countries to Armenia, which implies that they will pursue a more moderate monetary policy in future. In the meantime, in the international markets of basic commodities and food products, despite the rise in prices for some commodities, the inflationary environment remains low.

The Board talked about the developments in the domestic financial market, stating that in the second quarter too **financial market interest rates were fluctuating around the policy rate of the Central Bank.**

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. The Board estimates that, in the current situation, low inflation contributes to anchoring long-term inflation expectations and maintaining the purchasing power of income, and since gradual recovery of inflation is preferable for now and in view of the inflationary effects expected of both the external sector and domestic economy in the near future, **leaving the refinancing rate unchanged is appropriate.** The Board has a consensus that given the predictable macroeconomic developments, the monetary conditions have to be kept expansionary for as long as needed for fulfillment of the inflation target in the medium run. As a result, the expectation is that the inflation will run below the target in the coming months but will be stabilizing around it later on.

The Board also touched upon current inflation risks which are associated with global economic development uncertainties and a possibly more contractionary pace of the fiscal policy. If these risks materialize, an appropriate monetary policy response will be needed to ensure price stability in the medium term.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Board of the Central Bank of Armenia

RESOLUTION

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. To leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, 5.75%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.25%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.25%.
3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,

Governor of the Central Bank

June 11, 2019

c. Yerevan